6. Responding to all substantive points that are made through public comment, including modifying the legal instrument in response to some comments which proved to be correct,
7. A senior-level discussion about the entire documentation packet, and the consequential modifications to the legal instrument,
8. Releasing the final legal instrument with a future date on which it becomes effective,
9. Conducting an ex post review, three years later.

This process for drafting law induces the institutionalized application of mind, through which legal instruments are slowly drafted, one by one, that genuinely solve problems, and earn the respect and trust of the private sector.

At present, one state agency in India—the Insolvency and Bankruptcy Board of India (IBBI)—uses such a procedure. Nowhere else is it used. In the absence of such a thorough process, policymaking is tantamount to crossing the river based on ideology or political compulsions. When law is drafted without such a careful and slow process, the private sector sees the government as a source of regulatory risk.

The sound process described above is encoded into the draft Indian Financial Code (IFC) as the process prescribed, through which financial regulators would write regulations. This is similar to the methods applied in mature democracies, where parliamentary law requires agencies to work in this fashion. As an example, in the US, the federal Administrative Procedures Act (APA), 1946, prescribes such a machinery that must be used by all federal agencies.

Element 3: Small moves coupled with feedback loops

Experimentation is valuable. Too often in India, interventions are unveiled without the requisite level of knowledge about social systems. That